

E-Commerce Revenue Drop Analysis

Business Problem

The e-commerce company has reported a 15% drop in revenue. The goal is to understand what happened, why it happened, what may happen next, and what actions should be taken.

1. Descriptive Analysis (What Happened?)

- Revenue decreased by 15%.
- Total sales may have declined.
- Number of customers may have reduced.
- Average order value may have decreased.
- Conversion rate may have dropped.

2. Diagnostic Analysis (Why Did It Happen?)

- Customer purchasing behavior changed.
- Fewer website visitors.
- Increase in cart abandonment.
- Strong competition offering better prices.
- Product stock-outs or delivery issues.
- Marketing campaign performance declined.

3. Predictive Analysis (What May Happen Next?)

- Revenue may continue to decline if the issue is not addressed.
- Customer retention may decrease.
- Market share may be lost to competitors.
- Future sales targets may not be achieved.

4. Prescriptive Analysis (What Should Be Done?)

- Offer discounts and promotional coupons.
- Improve customer experience and website performance.
- Launch targeted marketing campaigns.
- Analyze top-selling and low-performing products.
- Improve inventory and delivery management.
- Create loyalty and retention programs for existing customers.

Conclusion

The company should identify the main reason behind the 15% revenue decline and take corrective actions such as discounts, better marketing, and improved customer experience to increase sales and revenue.